

PROFITABLE BUT NO MONEY IN THE BANK

7 REASONS SOUTH AFRICAN SMEs RUN OUT OF CASH

Your income statement may show a profit. Your bank balance shows whether the business can meet its commitments. This report explains the bridge between the two - and the weekly habit that makes the risk visible early.



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READ PROFIT VS CASH, IN PLAIN ENGLISH

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CARRON BUSINESS ADVISORY

Practical intelligence for South African business owners.

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Six terms, defined once, used throughout this report. Profit and cash measure different things: profit explains performance over a period; cash explains what is available to pay today.

P&L; (PROFIT AND LOSS STATEMENT)

Shows income less expenses for a period. It is not a bank statement.

PROFIT

What remains after income less expenses for the period, using the accounting basis adopted by the business.

CASH

Money actually available to meet payments when they fall due.

DEBTORS

Customers who owe the business money.

WORKING CAPITAL

Cash tied up in debtors, stock, work-in-progress and other operating balances.

CASH-FLOW FORECAST

A time-based estimate of expected receipts and known payments.

Profit can be earned before the customer pays. Cash can leave the bank without passing through the profit line. The report is about the gap between those two statements.

SIMPLIFIED MANAGEMENT BRIDGE - NOT A FORMAL CASH-FLOW STATEMENT

Reported profit

less cash tied up in unpaid invoices

less additional stock and unfinished jobs

less tax paid

less loan capital repayments

less equipment purchases

less owner withdrawals

equals movement in the bank account

Profit measures performance over time. Cash measures what you can pay today.

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FOR OWNER-MANAGERS

For owners whose P&L; feels healthy while the bank balance does not.

WHAT YOU WILL GAIN

- The seven causes of the gap
- A short cash-gap check
- A weekly action habit

WHO THIS IS FOR

- Owner-managers
- Bookkeepers and finance managers
- Advisors and mentors

Why the Bank Balance Never Matches the P&L;

Profit is an accounting measure. Cash is a timing measure. Under IFRS 15, revenue is recognised when promised goods or services are transferred to the customer, which can be before cash is received. That difference is often the first reason a profitable business experiences cash pressure.

Before calling it a trading problem, reconcile the bank, debtor, creditor and tax balances. A missed invoice, incorrect allocation or posting error can look like a cash-flow crisis.

FIVE CORE FINDINGS

- Profit and cash measure different things.
- Tax, payroll and supplier payment dates do not move because a customer pays late.
- Stock, work-in-progress and growth can consume cash before cash is collected.
- Loan capital, equipment and withdrawals can reduce cash without being operating expenses.
- A 13-week forecast is a planning horizon that makes the expected low point visible.

THE 15-MINUTE CASH-GAP CHECK

- Start with the actual bank balance.
- Reconcile debtors, creditors and SARS balances.
- List confirmed receipts and every known payment for the next 13 weeks.
- Find the lowest projected balance.
- Identify the one or two items creating that low point.

Profit Is an Accounting Event. Cash Is a Banking Event.

Revenue recognition and cash collection do not have to happen on the same date. That is why an income statement can include a sale that has not yet produced a receipt in the bank.

SALE MADE

>

INVOICE SENT

>

WAIT FOR RECEIPT

>

CASH RECEIVED

REASON 1 - DEBTORS: PROFIT RECORDED BEFORE CASH ARRIVES

Once goods or services have been delivered, the customer may still take time to pay. The invoice can be included in revenue while the business must continue paying payroll, rent and suppliers. The practical control is a weekly debtor-age report and a credible expected receipt date for each material invoice.

IN THE BANK: sales appear in the accounts, while operating commitments still fall due.

REASON 2 - VAT, PAYE AND PROVISIONAL TAX FALLING DUE

Tax cash dates are real commitments. PAYE is payable within seven days after the end of the month in which the tax was deducted; provisional-tax dates depend on the business year of assessment. VAT timing depends on the vendor tax period. Keep these dates in the cash forecast and reserve for known statutory liabilities.

IN THE BANK: a statutory payment can land in the same week as payroll or a major supplier run.

WORKED ILLUSTRATION - NOT A BENCHMARK

A business invoices a customer R100,000. It has already paid R70,000 in labour, rent and suppliers to perform the work. Until the R100,000 is collected, the business needs to fund that R70,000 cash timing gap, even though profit may have been recorded.

Fact note: IFRS 15 explains why revenue can be recognised when goods or services are transferred, while cash may be received later. The specific timing depends on the contract, invoice terms and collection behaviour.

Five More Ways Cash Gets Tied Up or Leaves the Bank

The remaining five causes are structural: they arise from how the business carries stock, grows, borrows and spends. They are normal mechanics of business. They become dangerous only when they are not visible in cash terms.

REASON 3 - STOCK AND WIP

Stock and unfinished jobs represent cash already spent. Review slow-moving stock, age work-in-progress by job and use deposits or milestone billing where the cash risk is material.

OWNER TEST: Is stock or WIP growing faster than sales?

REASON 4 - GROWTH AND WORKING CAPITAL

Every additional order can require supplier and staffing cash before the customer receipt arrives. Model the dates of material costs and customer payments before committing.

OWNER TEST: Did the best sales month create the tightest cash month?

REASON 5 - LOAN CAPITAL REPAYMENTS

Only interest is normally reported as a finance cost. The capital part of a loan instalment still leaves the bank. Forecast the full instalment.

OWNER TEST: Is the bank instalment bigger than the interest in the P&L;?

REASON 6 - EQUIPMENT AND WITHDRAWALS

Equipment is paid for when bought but recognised in profit over time through depreciation. Depending on the legal structure, drawings, dividends or owner-loan repayments can also leave cash without being operating costs.

OWNER TEST: Is every planned withdrawal dated in the forecast?

REASON 7 - LOW MARGIN OR POOR PRICING CONCEALED BY TURNOVER GROWTH

Rising turnover does not automatically release cash. If gross margin is too thin, each additional sale can consume more working capital than it releases. Review margin by customer, product or job and test whether deposits, payment terms or pricing need to change before pursuing further volume.

CASH TIMING TEST - BEFORE YOU ACCEPT A LARGE ORDER

Illustration only: a R1m order may require R300,000 of supplier deposits and R250,000 of labour or delivery cost before the first customer receipt. The R550,000 gap must be funded first. Ask: when does cash arrive, and can we carry the gap?



The Warning Signs, Reason by Reason

Each cause leaves an early signature in the numbers before the bank account becomes the problem. Use the sign to decide what needs attention before the tight week arrives.

WARNING SIGN	PRACTICAL RESPONSE
Debtor days are rising, or the 60-, 90- or 120-day columns are growing.	Review the age report weekly. Contact material overdue accounts before month-end.
A VAT, PAYE or provisional payment falls in the same week as payroll.	Enter the expected statutory debit early and fund the reserve progressively.
Stock levels or incomplete jobs are growing faster than revenue.	Track stock turn and aged WIP. Stop buying slow-moving items and close completed work promptly.
A new order needs supplier or staffing cash before the customer will pay.	Model dates before accepting it. Seek a deposit, milestone billing or supplier timing that matches the risk.
The full bank instalment is materially larger than the interest in the P&L.;	Forecast the full instalment, including capital. Check whether the facility term suits the asset or cash cycle.
A vehicle, machine, dividend, drawing or withdrawal is planned but absent from the forecast.	Do not commit until the post-payment balance remains above the agreed minimum cash level.
Sales are rising while gross margin is falling, or cash is tighter despite revenue growth.	Review pricing, discounting, customer terms and supplier terms before pursuing more volume.

Decision rule: a forecast is not there to produce a perfect number. It is there to expose a likely low point early enough to collect, delay, negotiate, reprice or arrange funding before the bank balance becomes the crisis.

The Right Tool at the Right Stage

The forecast and debtor-ageing report form the minimum cash-control stack. Supporting tools make commitments visible early enough to act.

CORE OPERATING STACK

13-WEEK CASH-FLOW FORECAST

Shows the lowest projected cash point and the receipts or payments driving it.

Finance + owner - every Monday

DEBTOR AGE PROFILE

Prioritises who must be contacted before the tightest cash week arrives.

Collections lead - weekly

SARS RESERVE AND PAYMENT CALENDAR

Separates tax cash from operating cash and makes statutory dates visible.

Finance - weekly update

LOAN, CAPEX AND WITHDRAWALS SCHEDULE

Captures full bank outflows that may not sit in the profit report.

Owner + finance - when committed

STOCK / WIP AND GROSS-MARGIN REVIEW

Tests whether stock, growth or pricing is consuming more cash than it releases.

Operational lead - monthly

Start with the 13-week forecast and one debtor-age report. Add the next tool only after the first two are updated every week without fail.

WHERE TO START

BUILD IN THIS ORDER

- Build one 13-week cash-flow forecast.
- Add a weekly debtor-age review.
- Create a separate SARS reserve.
- Add the next tool only when the first two are routine.

SA NOTE

Keep a separate SARS reserve and update it weekly. Do not regard it as available operating cash. It protects a known obligation from being spent twice.

A forecast does not create cash. It creates time - time to collect, negotiate or arrange funding before the bank balance becomes the problem.

WHAT THIS PAGE DOES

- Shows the minimum weekly rhythm that keeps cash visible.
- Separates known facts from hoped-for receipts.
- Turns a low point into one agreed action.

OWNER QUESTION

What must happen this week for payroll, SARS and essential suppliers to remain funded?

PRACTICAL RULE

Do not rely on an invoice date. Put cash into the forecast only when you have a credible expected receipt date.

A 13-week forecast is an early-warning system. The value is not the spreadsheet; it is the weekly conversation that confirms receipts, dates commitments and acts before a predictable gap becomes a crisis.

WEEK 1

Build the Baseline

- List every confirmed cash inflow by its expected receipt date - not its invoice date.
- Enter every known outflow: salaries, suppliers, rent, loan instalments, VAT, PAYE and owner commitments.
- Net receipts and payments by week, then identify the lowest projected balance.

EVERY MONDAY

Update, Don't Rebuild

- Replace last week's forecast column with actuals and roll the 13-week window forward.
- Confirm the next two to three weeks of material receipts directly with customers.
- Agree one action, owner and deadline before the week begins.

WHEN A GAP APPEARS

Act on What It Shows

- Collect: chase the debtors driving the tightest week before that week arrives.
- Delay or negotiate: move discretionary spend, request deposits or renegotiate supplier timing.
- Reprice or fund: correct poor terms, or approach the bank early with the forecast.

A forecast built once and forgotten is a document. Updated every week, it becomes a management habit: a known low point, a named action and less surprise.

The Bottom Line

None of the seven reasons a business can run out of cash while profitable is automatically a sign of poor management. Debtors can pay later than expected. Tax dates do not move. Growth needs funding before it releases cash. Loan capital, equipment and owner withdrawals can affect cash differently from profit.

What separates businesses that get caught out from those that do not is visibility. A rolling 13-week cash-flow forecast turns multiple risks into one visible number: the lowest projected cash point and the receipts or commitments that cause it.

Profit tells you the business worked last quarter. Cash tells you whether it can meet commitments this quarter.

WHAT CHANGES ON MONDAY MORNING

- Open the bank balance, debtor-age report and current 13-week forecast together.
- Confirm the receipts that will decide the tightest two weeks.
- Enter every known payment, including tax, loan capital, equipment and withdrawals.
- Agree one action: collect, delay, negotiate, reprice or arrange funding.
- Record the owner of that action and the date it must be completed.

WHEN TO ESCALATE

Escalate early when a projected balance falls below the business's agreed minimum safe level, when a debtor receipt becomes doubtful, or when a new order needs funding before it can generate cash. A bank or funder conversation is usually stronger when it happens with a forecast in hand, before the gap becomes an emergency.

FACT-CHECK SOURCES

This report avoids unverified payment statistics. Its factual tax and accounting references were checked against: IFRS Foundation, IFRS 15 Revenue from Contracts with Customers; SARS, Pay As You Earn; SARS, Provisional Tax; and SARS, Value-Added Tax (all accessed July 2026). Current tax dates, categories and treatment must be confirmed with SARS or a qualified adviser before action is taken.

ABOUT CARRON BUSINESS ADVISORY

Carron Business Advisory provides practical, independent business intelligence for South African entrepreneurs and SME owners. Our focus is cash-flow discipline, financial clarity and the decisions that determine long-term competitiveness.

Quick-Reference Checklist

Tick these against your own business. Any one "yes" is a cash risk worth tracking in the 13-week forecast. The score does not replace judgment; it indicates how urgently the discipline needs to become routine.

☐ DEBTORS

Are customers taking longer than your stated terms to pay?

☐ SARS DEADLINES

Has a VAT, PAYE or provisional-tax payment ever clashed with payroll?

☐ STOCK / WIP

Is money tied up in stock or unfinished jobs not yet invoiced?

☐ GROWTH

Did your busiest month coincide with your tightest cash month?

☐ LOAN REPAYMENTS

Are loan capital repayments leaving the bank with no matching P&L; expense?

☐ EQUIPMENT AND WITHDRAWALS

Has a purchase or withdrawal reduced cash without warning?

☐ MARGIN

Is turnover rising while the amount left after direct costs is shrinking?

Cash-discipline score: 0-2 ticks - establish the weekly forecast. 3-4 ticks - cash pressure is active; assign actions now. 5 or more ticks - treat cash management as an immediate management priority.

WHAT I DO EVERY MONDAY

- Check the actual bank balance and replace the prior week in the forecast with actuals.
- Confirm material customer receipts expected in the next two weeks.
- Enter every known payment: salaries, suppliers, loan instalments, SARS and owner commitments.
- Identify the lowest projected bank balance in the 13-week period.
- Decide and assign one action before the week starts.